

Utilities Cost Reduction & Sustainability Investment Plan

Senior Living Portfolio · Senior Living · Singapore & Japan

Document ID	SL-06
Category	Financial Performance
Classification	Financial
Date	2026-04
Prepared by	Senior Living Asset Management

1. Context

Utilities cost the senior-living portfolio S\$1.6 million a year, 18% of operating costs, up from 13% three years ago. Air-conditioning running around the clock, hot water and lifts are the main drivers. Residents' fees cannot absorb further increases without affecting occupancy, and investors expect a credible decarbonisation plan.

2. Investment options

Measure	Capex (S\$)	Annual saving (S\$)	Payback (years)
Chiller plant optimisation and metering (Harmony)	420,000	110,000	3.8
Heat-pump hot water (both properties)	260,000	62,000	4.2
LED lighting and occupancy sensors	150,000	38,000	3.9
Smart fan coil controls with comfort bands	520,000	35,000	14.9
Rooftop solar through a PPA (no capex)	0	45,000	n/a
Total	1,350,000	290,000	4.7 (blended)

3. Recommendation

- Phase 1 (FY2026): chiller plant optimisation and metering, plus LED lighting - the fastest paybacks.
- Phase 2 (FY2027): heat-pump hot water and the rooftop solar PPA.
- Defer smart fan coil controls: at a 14.9-year payback they should be combined with the next room refurbishment cycle.

4. Risks

- Execution risk: the senior-living team has limited engineering capacity and no experience of plant optimisation projects.
- Resident disruption: works must follow the resident communication protocol.
- Tariff uncertainty moves savings in both directions.